

To: AMG Executive Team

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Subject: Recommended Approach for AMG ERP Transformation

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Executive Summary

Alpha Manufacturing Group should treat the ERP replacement as a business transformation rather than only a technology upgrade. AMG's outdated ERP, disconnected engineering database, fragile BOM synchronization, siloed applications, and heavy Excel usage create significant operational and financial risks. These challenges contribute to manufacturing delays, unreliable labour tracking, poor margin visibility, and margin erosion across custom orders. The recommended approach is a controlled 12-month cloud ERP implementation focused on operational continuity, BOM and MRP reliability, financial close stability, and improved contribution margin reporting. AMG should maintain a strict Day-1 scope, prioritize essential business processes, and defer non-critical integrations, advanced features, and unnecessary customization until after stabilization.

1. Overall Program Approach

The program requires strong executive sponsorship, clear business ownership, and structured governance through a steering committee, program management office, and designated process owners across all key departments. The implementation should follow five phases:

1. **Mobilize and assess:** Confirm objectives, governance, scope, business requirements, risks, integrations, and data quality.
2. **Design:** Define standardized future-state processes for finance, procurement, inventory, manufacturing, costing, BOM and ECN management, sales orders, service, and reporting.
3. **Build and integrate:** Configure the cloud ERP, develop essential integrations and reports, cleanse and prepare data, and establish security roles and controls.
4. **Test and prepare:** Conduct system integration testing, user acceptance testing, mock migrations, user training, a mock cutover, and a simulated month-end close.
5. **Go-live and stabilize:** Complete the final migration, provide intensive hypercare support, monitor critical operations, and resolve issues quickly.

The primary measure of success should be a stable go-live that protects customer deliveries, manufacturing operations, cash collection, supplier payments, and financial reporting.

2. Scope and Sequencing

The initial go-live should include only the capabilities required to operate AMG safely and maintain financial control. Day-1 scope should include:

1. **Finance:** General ledger, payables, receivables, fixed assets, tax, and financial close.
2. **Procurement:** Supplier management, purchase orders, receiving, and approvals.
3. **Inventory:** Item master, warehouse operations, costing, and stock movements.
4. **Manufacturing and Engineering:** MRP, work orders, routings, production, WIP, BOMs, and ECN integration.
5. **Sales and Controls:** Sales order processing, reporting, security roles, audit trails, and approval workflows.

BOM accuracy must be a top priority because AMG produces customized equipment. Engineering and manufacturing teams should agree on BOM ownership, item structures, revision controls, and ECN approvals to ensure that only approved and current information reaches production. AMG should defer non-essential systems, advanced features, and low-priority reports while avoiding unnecessary legacy customizations. Any new request or customization should pass through formal change control and be approved only when its business value, risk, cost, and impact on the 12-month timeline justify it.

3. Data and Reporting Strategy

AMG should not migrate all historical transactions into the new ERP. Instead, data should be divided into three categories.

First, clean master and active operational data should be migrated. This includes customers, suppliers, items, approved BOMs, routings, chart of accounts, opening balances, inventory, open sales orders, open purchase orders, open accounts receivable and payable, active work orders, and active projects.

Second, selected recent history should be migrated only when it is required for warranty, customer service, audit, compliance, or comparative reporting.

Third, older historical information should remain accessible through a secure archive, reporting warehouse, or read-only legacy environment. This provides continuity without increasing migration complexity and risk.

AMG should define its critical reports and KPIs before completing the ERP configuration. These should cover profitability, costs, inventory, backlog, purchase commitments, delivery performance, and inventory accuracy. During the transition, reports from the old and new ERP systems should be compared and reconciled. Finance should validate opening balances, subledgers, intercompany transactions, inventory values, and financial statements. A full mock month-end close must be completed before go-live, and any major discrepancies should be resolved first.

4. Top Risks and Mitigation

1. **Scope creep:** Keep the Day-1 scope fixed and approve major changes through the steering committee.
2. **Poor data quality:** Assign data owners and complete cleansing, validation, and mock migrations.
3. **BOM and MRP disruption:** Prioritize engineering data controls, ownership, and thorough testing.
4. **Financial close failure:** Reconcile balances, test reports, and complete mock financial closes.
5. **Low user adoption:** Provide role-based training, super users, user testing, and post-go-live support.

Conclusion

AMG should proceed with a focused and phased ERP transformation that protects operations while improving BOM accuracy, financial control, data governance, and margin transparency. Day-1 should deliver stable finance, procurement, inventory, manufacturing, order processing, engineering integration, and essential reporting. Advanced analytics, deeper CRM and HRIS integration, and broader automation should follow after the core platform has stabilized. This approach gives AMG the strongest opportunity to meet the 12-month target while minimizing operational disruption and establishing a scalable foundation for future digital transformation.